Chapter 13

Negotiation in Procurement

Strategic Sourcing and Procurement | Master's in Supply Chain Management

KFUPM Business School | King Fahd University of Petroleum & Minerals

Opening Case: Saudi Aramco & Baker Hughes

How Strategic Negotiation Saved Billions

📋 OPENING CASE

The Context

When crude oil prices collapsed in 2015–16, Saudi Aramco faced pressure to cut upstream drilling costs by 30%. They entered multi-round negotiations with oilfield service giant Baker Hughes over a $1.5 billion drilling services contract.

Aramco's Negotiation Strategy:

• Set a strong BATNA: awarded pilot contracts to Halliburton and Schlumberger
• Leveraged volume: offered long-term commitment in exchange for price concessions
• Used informational power: shared well-cost benchmarks from global markets
• Employed logrolling: traded payment terms flexibility for a 22% unit price cut

$1.5B

contract value at stake

28%

cost reduction negotiated
~SAR 1.57 billion saved

Source: Aramco Annual Report 2016; Wood Mackenzie Upstream Analysis; Reuters, 'Aramco cuts oilfield services costs', Feb 2016

Opening Discussion

Before we begin — reflect on this:

"Think of a significant purchase you or your organisation recently made — a contract, major equipment, or a service. Did you negotiate? What was your BATNA? What would you do differently now armed with formal negotiation theory?"

Pair–Share — 3 minutes, then one spokesperson per pair reports back to class

What Is Negotiation?

Definition, Nature & Scope

📌 CONCEPT

"A process of formal communication where two or more parties seek mutual agreement about an issue — involving the management of time, information, and power between interdependent individuals and organisations."

— Monczka, Handfield, Giunipero & Patterson, Purchasing & Supply Chain Management, 5e

Formal Communication

Face-to-face, video, e-negotiation — structured exchange of positions & interests

Time, Info & Power

Three levers every negotiator must manage simultaneously

Mutual Agreement

Both parties must leave with something — or the negotiation fails

Skill — Not Just Talent

Negotiation skills can be trained, practised, and systematically improved

Negotiation Vocabulary: The Terms You Must Know

📌 CONCEPT

BATNA

Best Alternative to a Negotiated Agreement

Your walk-away option — the best outcome you can achieve without the deal. NEVER reveal it. All offers must be judged against it.

💡 *Aramco's BATNA: award drilling contract to Halliburton if Baker Hughes won't cut price.*

Position

Stated Opening Demand

Your opening offer at the table — your optimistic, aspirational starting number. It is a tactic, not your true need.

💡 *Baker Hughes opens at $85/hr for drilling. This is their position, not their cost floor.*

Interest

Underlying Motivation Behind the Position

The WHY behind what someone asks for. Rarely stated openly. Discovering interests is the key to creative solutions.

💡 *Baker Hughes' interest: maintain utilisation rate during industry downturn — not necessarily $85/hr.*

Needs vs. Wants

Must-Haves vs. Nice-to-Haves

Needs = outcomes you must achieve for a deal. Wants = outcomes you'd like but can trade as concessions.

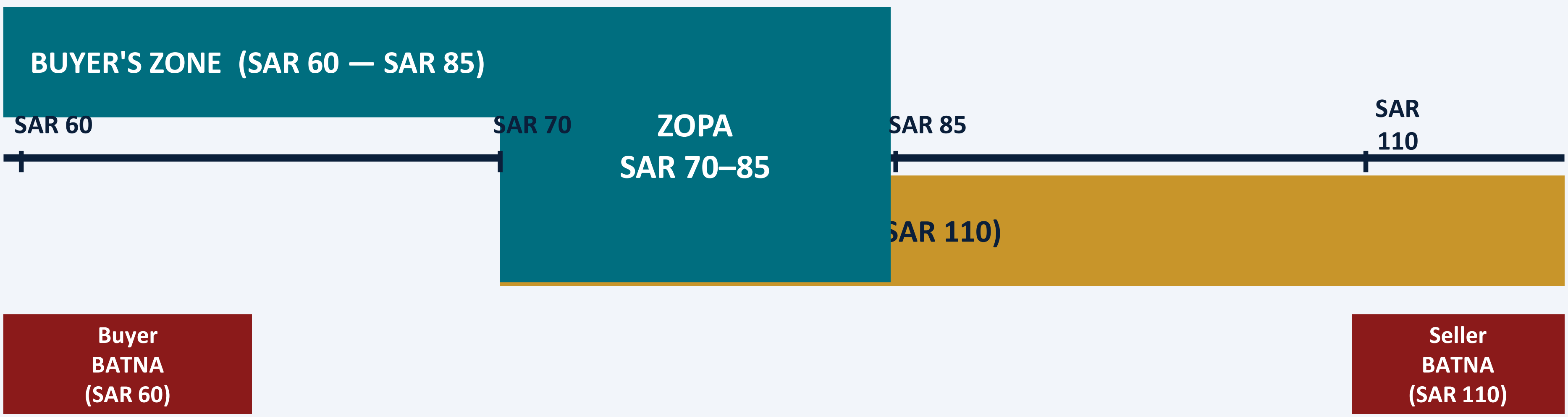
💡 *Aramco needs: price ≤$65/hr. Wants: payment in 30 days (but can flex to 45 if needed).*

Zone of Possible Agreement (ZOPA)

Where Deals Actually Get Done

📌 **CONCEPT + VISUAL**

The ZOPA is the overlap between both parties' reservation points (BATNAs). If there is NO overlap, no deal is possible — and negotiation should redirect to expanding the pie or improving BATNAs.



Source: Concept from Fisher, Ury & Patton, 'Getting to Yes', 3rd ed., Penguin Books, 2011

Triangle Talk: The 3-Step Negotiation Process

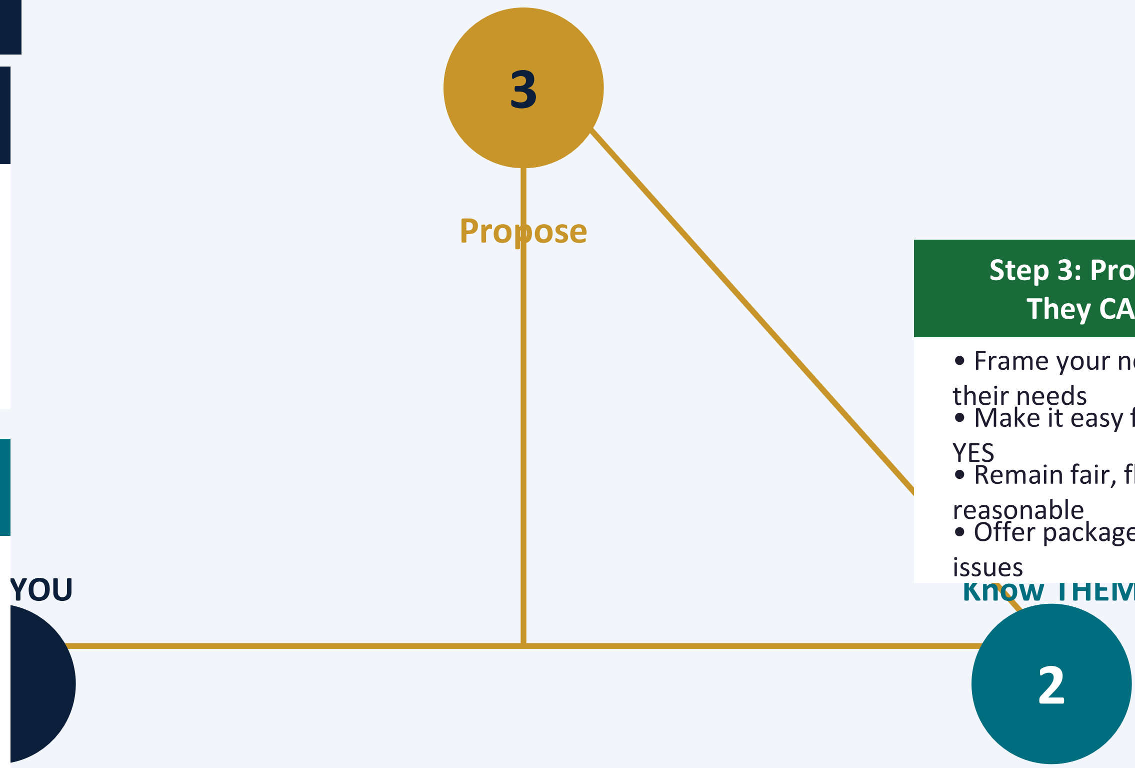
📌 CONCEPT

Step 1: Know Exactly What YOU Want

- Write down specific goals & objectives
- Distinguish needs from wants
- Set aspiration point, target & BATNA
- Rank issues by priority

Step 2: Know Exactly What THEY Want

- Discern other party's underlying interests
- Estimate their BATNA
- Ask open-ended probing questions
- Beware assuming they think like you



Step 3: Propose Action They CAN Accept

- Frame your needs in terms of their needs
- Make it easy for them to say YES
- Remain fair, flexible & reasonable
- Offer packages — not single issues

The Negotiation Framework

From Need Identification to Contract Execution

📌 FRAMEWORK

01	02	03	04	05
Identify the Need	**Is Negotiation Required?**	**Plan the Negotiation**	**Conduct the Negotiation**	**Execute the Agreement**
Requisitions, inventory reorder points, new products, capital projects	Large value? Complex specs? Evolving requirements? Collaborative relationship?	Objectives, BATNA, ZOPA, team roles, strategy & tactics	Fact-finding → Caucus → Narrow differences → Close	Monitor contract, provide feedback, build relationship

Triggers: Large contract value | Complex/evolving specs | Capital equipment | Strategic partnership | High risk/uncertainty

Negotiation Planning: The Pre-Table Checklist

What Separates Skilled Negotiators from the Rest

📌 CONCEPT

1 Identify participants:
Who is on your team? Who leads? Who is the subject matter expert? Who has authority to sign?

2 Develop objectives:
For EACH issue: aspiration point, target value, BATNA. Rank by priority.

3 Analyse S&W:
Your strengths and weaknesses vs. the other party's — honestly and objectively.

4 Gather information:
Market pricing, supplier cost structure, benchmarks, alternative suppliers.

5 Recognise their needs:
What does the other party need to achieve? What are their constraints?

6 Establish positions:
Define opening position, target, and walk-away for every negotiating issue.

7 Develop strategies:
Win-win vs. win-lose? Logrolling? Package deals? Anchoring?

8 Practice:
Role-play the negotiation — including being the other party. Test your arguments.

Power in Negotiation

Understanding and Deploying Your Power Base

📌 CONCEPT

Power = the ability to influence another party's decisions. It is neither inherently good nor bad — it is how you use it that matters.

📊 Informational Power

Access to relevant facts, data & persuasive arguments

💼 *Buyer presents global benchmark price data showing supplier is 18% above market*

⚠️ Can be undermined by false information

🏆 Reward Power

Ability to offer something of value to the other party

💼 *Offering a 3-year contract in exchange for a 15% price reduction*

⚠️ Creates dependency; may be unsustainable

⚡ Coercive Power

Ability to withhold something valuable or impose penalties

💼 *Threatening to multi-source if supplier refuses quality clauses*

⚠️ Damages long-term relationships; invites retaliation

🏛️ Legitimate Power

Authority derived from position, certification, or standards

💼 *ISO 9001 compliance requirement as non-negotiable in contract*

⚠️ Other party must value the authority for it to work

🔬 Expert Power

Deep technical or market knowledge that others respect

💼 *Buyer who knows supplier's cost structure better than the salesperson*

⚠️ Can be neutralised if other party brings their own expert

🤝 Referent Power

Influence based on personal rapport, trust, and likability

💼 *Long-term relationship built over years of successful collaboration*

⚠️ Takes years to build; one breach can destroy it

The Art of Concessions

Give-and-Take Without Giving Away the Farm

📌 CONCEPT

A concession is movement away from your stated position that has perceived value to the other party. NEVER give away a concession — trade it.

✅ DO:

- Give yourself enough room at the opening — anchor high (seller) or low (buyer)
- Be the first to concede on a minor issue — build goodwill and reciprocity
- Make the other party work hard for every concession you grant
- Use trade-offs: 'I'll accept 30-day payment if you accept $72/unit'
- Concede slowly — give less with each successive concession
- Keep a record: look for patterns in what they concede

❌ DON'T:

- Never be the first to concede on a major issue
- Never reveal your deadline — it becomes their leverage
- Never concede too quickly, too often, or too much
- Don't make concessions without receiving something in return
- Avoid trying to claw back tentative concessions already given
- Don't portray large concessions as small — destroy credibility

Negotiation Tactics: The Practitioner's Toolkit

📌 CONCEPT

Low Ball / High Ball

Open with an extreme offer to anchor the negotiation in your favour

💡 *Buyer opens at SAR 55 when fair value is SAR 75 — shifts the midpoint*

Trial Balloon

Float a hypothetical to test reactions without committing

💡 *'Hypothetically, if we committed to 2 years, could you revisit the unit price?'*

Caucus / Recess

Pause to reassess, recalibrate strategy, defuse tension

💡 *After a surprising counter-offer, call a 20-minute break*

Silence

After making an offer, say nothing — pressure fills the void

💡 *Buyer makes final offer. Silence. Supplier feels compelled to respond*

Best & Final

Signal you are at your limit — use sparingly, must be credible

💡 *'This is our final offer: SAR 68/unit, net 30. We need your answer today'*

Price Increase Warning

Scarcity + urgency: 'Our costs are rising; lock in now'

💡 *Supplier: 'Steel tariffs increase next month — current price valid 7 days'*

Questions

Open-ended questions reveal interests and lower defences

💡 *'Help me understand how you arrived at that pricing...'*

Planned Concessions

Pre-plan the sequence and magnitude of every concession

💡 *Prepare 3 tiers: SAR 72 → 69 → 67 (each with something received in return)*

6 Principles of Influence in Negotiation

Cialdini's Framework Applied to Procurement

📌 CONCEPT

1

Reciprocity

People feel obligated to return favours

💼 Share supplier cost-benchmark report → they feel compelled to share their constraints

2

Consistency

People want to honour prior commitments

💼 Get supplier to agree on quality standard first — then link pricing to it

3

Social Proof

People follow what others are doing

💼 'Three of your competitors have already accepted these terms'

4

Liking

People agree more with those they like

💼 Build rapport over lunch before the formal negotiation session

5

Authority

People defer to recognised experts

💼 Bring your CFO or Chief Engineer — elevates perceived authority

6

Scarcity

Perceived scarcity increases urgency

💼 'We can offer this pricing to only one supplier in this region'

Source: Cialdini, R.B. (2006). Influence: The Psychology of Persuasion. Harper Business. ISBN: 978-0-06-124189-5

Win-Win (Integrative) vs. Win-Lose (Distributive) Bargaining

📌 CONCEPT

WIN-LOSE (Distributive)

- Fixed pie — one party's gain = other's loss
- Competitive, adversarial posture
- Focus on positions, not interests
- Works in one-time transactions
- Damages long-term relationships
- Common in commodity markets

VS

WIN-WIN (Integrative)

- Expand the pie — create new value for both
- Collaborative, interest-based posture
- Focus on underlying needs
- Best for strategic partnerships
- Builds trust for future deals
- Essential in long-term supplier relationships

Win-Win Methods: Expand the pie | Logrolling | Non-specific compensation | Cost-cutting for compliance | Bridge solution

Win-Win Methods: How to Expand the Pie

📌 CONCEPT + EXAMPLES

Expand the Pie	Find additional resources or options that weren't on the table originally.	💼 *Buyer includes multi-year volume commitment → supplier can now invest in automation → lowers unit cost for both.*
Logrolling	Trade issues of differing importance: 'I'll give on X if you give on Y.' Each party concedes what matters less to them.	💼 *Buyer relaxes payment terms (low value to buyer) in exchange for 12% price cut (high value to buyer).*
Non-Specific Compensation	One party gets what they want on the main issue; the other is compensated on a different, unrelated issue.	💼 *Supplier accepts lower unit price but gets exclusive preferred-supplier status for 2 years.*
Cost-Cutting for Compliance	One party reduces the cost to the other of agreeing to a position.	💼 *Buyer offers free training & design support to supplier to reduce their cost of meeting new quality specs.*
Bridge Solution	Both parties abandon their original positions to develop an entirely new option that satisfies both.	💼 *Instead of debating delivery day, implement JIT pull system with supplier holding safety stock at their site.*

Conducting the Negotiation: Face-to-Face Phases

📌 PROCESS

Phase 1 Opening & Fact-Finding	Phase 2 Caucus & Reassess	Phase 3 Narrow Differences	Phase 4 Seek Agreement & Close
Establish ground rules & agenda	Call a break after major exchanges	Issue-by-issue trading	Test for agreement on each issue
Information sharing — broad questions	Reassess strengths/weaknesses	Use planned concession sequence	Package remaining items
Confirm your pre-negotiation research	Revise objectives if needed	Employ win-win methods	Document all agreed points
Listen more than you talk	Plan next round's tactics	Summarise progress periodically	Clear next steps & timeline

Key principle: 'May involve SEVERAL iterations before final agreement.' Never rush — time pressure is a tactic the other party will use

Being an Effective Procurement Negotiator

Behaviours That Research Shows Work

📌 BEST PRACTICES

✅ **DO These:**

Willing to compromise:	Revise goals when new info warrants — flexibility is a sign of strength, not weakness
View issues independently:	Don't link concessions across unrelated issues unless using logrolling intentionally
Establish ranges:	Set upper and lower bounds for each issue — prevents getting cornered
Explore additional options:	Brainstorm new variables to introduce before declaring impasse
Build on common ground:	Start with areas of agreement; create momentum before tackling hard issues

❌ **AVOID These:**

❌ **Make irritating comments** | ❌ **Argue with too many reasons** | ❌ **Over-counter-propose**

Real Case Study: Walmart's Supplier Negotiations

The World's Most Powerful Buyer

📋 **REAL CASE**

Background

Walmart's Bentonville headquarters has been called the toughest negotiating environment in global retail. Suppliers must prepare months in advance. The buying team uses a highly structured, data-driven approach.

Informational Power:

Walmart shares real-time POS data with suppliers — but only those who comply with EDLP (Every Day Low Price) requirements. Information becomes leverage.

BATNA as a Weapon:

Walmart's buyers routinely bring in 2–3 competing suppliers to the same category review. Suppliers know their BATNA is weak — this shifts the ZOPA dramatically.

Logrolling in Practice:

Walmart trades shelf-space placement (high-value to supplier) for price reductions. Net 90-day payment terms are given in exchange for deeper discounts.

Coercive Power Risk:

P&G and Walmart fell out in 2018 over pricing on detergents. P&G threatened to delist — a rare example of supplier coercive power against a buyer. Negotiations resumed.

Source: Fishman, C. (2006). The Wal-Mart Effect. Penguin Press. | Reuters, 'P&G and Walmart in pricing dispute', June 2018

Real Case Study: Boeing 787 Dreamliner Supply Negotiations

When Collaborative Sourcing Goes Wrong

📋 REAL CASE

What Boeing Did

Boeing's 787 programme (2004–2011) attempted a radical supply chain transformation — outsourcing ~70% of components to global Tier-1 suppliers under risk-sharing partnerships. Negotiating terms included:

- **Non-specific compensation:** Suppliers invested own capital in exchange for long-term exclusivity
- **Bridge solution:** Moved from build-to-print to design-build — suppliers took on IP
- **Cost-cut for compliance:** Boeing provided design tools and training to suppliers

The Lesson

3 years	delay vs. schedule
$32B	cost overrun
Mitsubishi/ Alenia	major suppliers failed on specs

Lesson: Win-win negotiations require rigorous capability assessment. Shared risk ≠ shared capability.

Source: Tang & Zimmerman (2009). 'Managing New Product Development and Supply Chain Risks'. Supply Chain Management Review. | GAO Report GAO-10-85, 2009

Group Discussion: Power, Tactics & Ethics

Negotiation in Saudi Industrial Procurement

Scenario:

A SABIC petrochemical plant in Jubail needs to renew a 3-year contract for industrial nitrogen gas supply. The current supplier (Air Liquide) has been reliable but is asking for a 14% price increase citing rising energy costs. You have had preliminary discussions with Linde (competitor) who can supply at a 5% premium to current price but would require a 6-month qualification period.

Discuss in Groups of 3–4:

1. What is SABIC's BATNA? How strong is it? Should you reveal it to Air Liquide?
2. Which power type(s) does SABIC hold here? Which does Air Liquide hold?
3. Design a 3-step concession plan for SABIC. What is the opening position? What do you trade?
4. Is a win-win outcome possible? Which win-win method would you apply?

⏱ **15 minutes | Each group presents their BATNA & concession strategy**

International Negotiation in Procurement

Cross-Cultural Complexity & How to Navigate It

⚠ **Language Barriers**	✅ Use professional translators (not just bilingual staff). Circulate written summaries after each session.
⚠ **Cultural Differences**	✅ Japanese: consensus-based, slow. Chinese: relationship first (guanxi). American: quick, direct. Saudi: relationship, trust, wasta.
⚠ **Time & Pace**	✅ Many cultures view rushing as disrespectful. Build extra time into the schedule. Never impose a deadline publicly.
⚠ **Authority Levels**	✅ International negotiators may lack authority to sign. Clarify decision-making structure before the session.

Saudi Context: In KSA, negotiations often involve extended relationship-building (majlis culture), hospitality rituals, and indirect communication styles. Never rush. Trust precedes transaction.

Source: Brett, J.M. (2014). Negotiating Globally. Jossey-Bass, 3rd ed. | Lewicki et al. (2015). Negotiation, 7th ed. McGraw-Hill

Digital & E-Negotiation in Procurement

The Internet, eRFP, and Reverse Auctions

📌 CONCEPT

e-Negotiation Equalises Power:

Status and social cues disappear online — junior buyers can negotiate with senior suppliers on equal footing.

Reduced Information Richness:

Non-verbal cues, body language, and vocal tone are lost. Meanings are misread more often.

Risk-Taking Increases:

Research shows e-negotiators make more aggressive anchors and take larger positional risks.

Asynchronous Risks:

Real-time silence is a tactic. In email negotiation, 'silence' loses its power — long delays may just mean a busy schedule.

Reverse Auctions (e-RA):

Suppliers bid prices DOWN in real time. Best for standardised, commoditised purchases with well-defined specs.

e-RFQ / e-RFP:

Structured online competitive negotiation with multiple rounds. Common in SAP Ariba, Coupa, Oracle Fusion.

AI in Procurement:

AI tools (e.g., Pactum AI) now conduct automated supplier negotiations for routine contracts. Maersk reduced negotiation time 60%.

Best Practice:

Hybrid: use digital for information exchange and initial rounds. Move face-to-face for final, strategic agreement.

Source: Kersten & Lai (2007). 'Negotiation Support and E-Negotiation Systems.' Group Decision and Negotiation. | Pactum AI Case Study, Maersk, 2022

Procurement Negotiation in Saudi Industry

Vision 2030, IKTVA & The Changing Supplier Landscape

🌍 **SAUDI CONTEXT**

Saudi Vision 2030 is fundamentally changing the power dynamics in Saudi procurement negotiations. Local content mandates (IKTVA, NTP) create new leverage for domestic suppliers — but also new risks for buyers.

Oil & Gas (Aramco)	Issue: Vendor Development Programme: Aramco mandates In-Kingdom manufacturing for strategic items. Negotiating with new Saudi suppliers requires patience and development agreements.	💡 *Cost-cut for compliance: provide technical assistance to help suppliers meet specs while negotiating lower price.*
Defence (GAMI)	Issue: Vision 2030 targets 50% domestic defence spending. Saudi Arabian Military Industries (SAMI) negotiates offset agreements — suppliers must invest in KSA capability.	💡 *Bridge solution: design joint ventures and technology transfer as part of the deal, not just the price.*
Construction (NEOM, PIF)	Issue: Multi-billion mega-project procurement requires complex multi-party negotiations with international EPC contractors, equipment suppliers, and local sub-contractors.	💡 *Package negotiations across multiple contracts to leverage volume; use logrolling across scope/schedule/price.*

🎯 In-Class Negotiation Simulation

The Saudi Steel Contract — Buyer vs. Supplier Role Play

Context

Saudi Steel Company (SSC) manufactures structural steel for NEOM's construction phase. They need to negotiate a 12-month rebar supply contract with Al-Rajhi Steel, a domestic supplier. Global steel prices are volatile. SSC's construction timeline cannot slip.

🏢 BUYER: SSC Procurement Team

- Target price: SAR 2,650/tonne
- BATNA: Turkish steel at SAR 2,820 (3-wk lead time)
- Need: delivery by 15th each month
- Want: 5% price escalation cap
- Authority: up to SAR 2,780/tonne

🏭 SELLER: Al-Rajhi Steel Team

- Opening ask: SAR 3,050/tonne
- BATNA: other NEOM subcontractors at SAR 2,950
- Need: minimum SAR 2,700/tonne
- Want: SAR 2,900 with monthly CPI adjustment
- Authority: can go to SAR 2,650 with 5-yr contract

⚠️ **Your role card is confidential — do not share with the other team until the debrief.**

Simulation Rules & Debrief Questions

🎯 SIMULATION

1	Teams of 3: one lead negotiator, one observer/note-taker, one subject expert (technical/financial)
2	You have 20 minutes total. First 5 minutes: read role card & plan strategy. Then 15 minutes face-to-face.
3	You must negotiate at least FOUR issues: price, delivery schedule, escalation clause, payment terms
4	Record every concession you make on your tracking sheet. Note what you received in return.
5	If no agreement: both teams report final positions and the class identifies the ZOPA gap.

Post-Simulation Debrief Questions:

- What was the final agreed price? Where does it sit in the ZOPA?
- Which power type proved most effective? Did any tactics backfire?
- What would you do differently in the planning phase?

Simulation Debrief: Connecting Practice to Theory

🎯 DEBRIEF

The ZOPA:

Buyer BATNA: SAR 2,820 (Turkish). Seller floor: SAR 2,700. ZOPA = SAR 2,700–2,820. Did your agreement land here?

Anchoring Effect:

Seller opened at SAR 3,050 — far above ZOPA. Did this pull the agreement upward from SAR 2,700? Research shows first offers anchor final outcomes.

Logrolling:

The escalation clause vs. price was a classic logroll opportunity. Did any team trade the cap for a lower base price?

Concession Pace:

Teams that conceded quickly typically got worse outcomes. Slow, small concessions signal higher reservation points.

Information Asymmetry:

Buyer knew the Turkish BATNA; seller did not. How did disclosure (or withholding) of this information affect the negotiation?

Relationship vs. Deal:

Simulation is one-shot — real procurement is repeat. How would your tactics change in a 5-year relationship context?

Real Case: Apple & TSMC — Long-Term Supply Negotiation

Strategic Partnership Built on Win-Win

📋 REAL CASE

Background

Apple's multi-year supply agreement with TSMC (Taiwan Semiconductor) for A-series chips is one of the most studied strategic procurement negotiations. Apple commits to full wafer capacity while TSMC commits to leading-edge node exclusivity for Apple designs.

Expand the Pie:
Apple pre-funds TSMC fab construction in exchange for guaranteed capacity and leading-edge process priority. Both benefit: Apple gets exclusivity; TSMC gets capital and a guaranteed long-term customer.

Expert Power:

Apple's chip design team (3,000+ engineers) develops so deeply with TSMC process engineers that it creates switching costs for both — reinforcing the partnership.

Logrolling:

Apple trades manufacturing process exclusivity windows (high value to Apple) in exchange for flexible delivery scheduling (high value to TSMC's production planning).

Long-term vs. Spot:

Apple's willingness to commit 3–5 years gives TSMC certainty to invest. In return, Apple avoids semiconductor spot market volatility — a lesson for Saudi industrial buyers.

Source: Duhigg & Bradsher, 'How the U.S. Lost Out on iPhone Work', NYT, Jan 2012 | Nikkei Asia, 'Apple-TSMC supply deal', 2020 | Bloomberg Intelligence, Semiconductor Supply Chain, 2023

Negotiation Ethics in Procurement

Where Strategy Ends and Manipulation Begins

⚖ ETHICS

Ethical procurement negotiation requires honesty about core facts, even while withholding strategic information (like your BATNA). Deception is illegal in most procurement contexts and destroys long-term relationships.

✅ Ethically Acceptable in Negotiation:

- Keeping your BATNA confidential
- Anchoring high/low with a credible opening
- Using silence and time pressure as tactics
- Logrolling and packaging issues strategically
- Claiming limited authority ('I need to check with my team')

❌ Ethically Unacceptable / Illegal:

- Falsifying cost or market data
- Shill bidding or phantom competitor bids
- Misrepresenting product/service specifications
- Bribery, gifts beyond policy limits (KSA NCA regulations apply)
- Price-fixing in collusion with other buyers/sellers

KSA Context: Regulated by the National Anti-Corruption Commission (NAZAHA) and NUPCO procurement regulations. Violations can result in contract cancellation and criminal liability.

Common Negotiation Mistakes in Procurement

And How to Avoid Them

⚠ CRITICAL THINKING

❌ Rushing to the table unprepared

✅ Complete all 8 planning steps before any face-to-face session. Research supplier cost structure.

❌ Negotiating positions, not interests

✅ Ask 'Why do you need that?' before responding to any position. Interests unlock creative solutions.

❌ Making concessions without tracking

✅ Keep a live concession log. Identify patterns — are you consistently giving more than receiving?

❌ Accepting the first counter-offer

✅ Even if it's good — always pause, caucus, and counter. Quick acceptance signals you had more to give.

❌ Revealing your BATNA under pressure

✅ Practise deflecting BATNA questions: 'We have alternatives we're evaluating — let's focus on what works for both of us.'

❌ Emotion and ego at the table

✅ Separate the person from the problem. React to positions, not people. Name the emotion, then move on.

Procurement Negotiation: Decision Guide

Which Approach for Which Situation?

SYNTHESIS

One-time commodity purchase (standard specs, many suppliers)	**Competitive bid / reverse auction — minimal negotiation**
Long-term strategic supplier partnership	**Win-win integrative negotiation — logrolling, bridge solution**
Crisis procurement (urgent need, few alternatives)	**Strengthens seller's power — pre-prepare BATNA; build contingency supply**
Capital equipment (complex, high value, technical specs)	**Multi-round negotiation with TCO framework; expert power critical**
International procurement (cultural gap + currency risk)	**Build relationship first; use professional translator; avoid deadlines**
Post-contract renegotiation (supplier seeks price increase)	**Reframe as BATNA strengthening; benchmark market; demand open-book costing**
Sole-source situation (no viable alternative)	**Expand your BATNA before you enter. Or use legitimate power (standards, specs) to limit scope.**

Real Case: SABIC & Siemens Energy — Capital Equipment Negotiation

Multi-Issue, Long-Term Industrial Deal

📋 **REAL CASE**

Context: SABIC negotiated a multi-year contract with Siemens Energy for gas turbines and compressors for its Jubail complex expansion (2019–2022). Contract value exceeded $200M.

Multi-Issue Packaging	Equipment price, spare parts pricing (10-year), service response time SLA, operator training, energy performance guarantee — all negotiated as a package, not individually.
Performance Incentives	Contract included bonus payments if turbine heat rate exceeded guaranteed efficiency by >1%. Penalty clauses if below. This aligned Siemens' financial interest with SABIC's operational needs.
Localisation Clause (IKTVA)	SABIC required Siemens to establish a maintenance hub in KSA and commit to 15% local content in parts within 5 years — a bridge solution that satisfied Vision 2030 goals.
Total Cost of Ownership Framework	SABIC's team analysed 15-year TCO (not just purchase price): energy consumption, maintenance intervals, spare parts availability. This informational power shifted the negotiation.

Source: SABIC Annual Report 2021 (sabic.com); Siemens Energy Press Release, 'Siemens Energy expands KSA footprint', Nov 2020; Saudi Gazette, Dec 2020

Integrative Case Study

Marafiq Water & Electricity — Negotiating a 5-Year O&M Services Contract

Background: Marafiq (Power & Water Utility for Jubail & Yanbu) must negotiate a 5-year Operations & Maintenance contract for its desalination facilities. Current contractor (Veolia) is requesting a 20% cost increase. GE Water (now SUEZ) has submitted a competitive bid.

Define BATNA	What is Marafiq's BATNA? What are its weaknesses? How can it be strengthened before entering negotiations?
Power Analysis	Map all power types each party holds. Which is most significant? How can Marafiq increase its informational power?
Establish Positions	Set Marafiq's aspiration, target, and walk-away for at least 3 issues: cost, SLA response time, local content.
Concession Strategy	Design a 3-tier concession plan. What does Marafiq trade first? What does it hold back as a final concession?
Win-Win Method	Which win-win method applies here? How would you use logrolling or expand-the-pie in this context?

Procurement Negotiator's Quick Reference Guide

📌 SYNTHESIS

PRE-NEGOTIATION

- ✓ Define all issues and rank by priority
- ✓ Set aspiration, target & BATNA for each issue
- ✓ Research other party's cost structure & interests
- ✓ Brief team, assign roles, practise arguments

AT THE TABLE

- ✓ Open with an anchor (high/low)
- ✓ Ask open-ended questions — listen 2:1
- ✓ Use caucus/silence strategically
- ✓ Track all concessions — give slowly, get always

WIN-WIN TOOLKIT

- ✓ Expand the pie (new variables)
- ✓ Logroll (trade issues of diff. importance)
- ✓ Non-specific compensation
- ✓ Bridge solution (abandon both positions)

CLOSE & EXECUTE

- ✓ Confirm all agreed points in writing immediately
- ✓ Define performance metrics & review schedule
- ✓ Monitor contract; reward compliance
- ✓ Document lessons for next negotiation

Exit Ticket — Before You Leave

Consolidate Your Learning

🎓 EXIT ACTION

1. **Define BATNA**

   ...in one sentence. Then describe YOUR BATNA in the simulation.

2. **Name 3 sources of power**

   ...and give a Saudi procurement example for each.

3. **Explain in one sentence**

   ...the difference between WIN-WIN and WIN-LOSE bargaining. Which is better for strategic suppliers?

4. **Describe ONE tactic**

   ...used against you that you did not expect. How would you counter it next time?

5. **Pose ONE question**

   ...you still have after today's session — post to LMS Discussion Board.

✍ **Write answers on a notecard and submit as you leave, OR post to the LMS discussion board before midnight.**

Key Takeaways

1. Negotiation is a skill — not a talent. Every element (BATNA, positions, interests) can be planned and practised.
2. Your BATNA is your most powerful asset. Strengthen it before you enter the room; never reveal it.
3. Focus on interests, not positions — what the other party SAYS they want is rarely what they NEED.
4. Power is contextual and combinable — expert + referent power is more durable than coercive power.
5. Concessions must be traded, not given. Concede slowly, in decreasing amounts, always receiving something in return.
6. Win-Win is not just ethical — it is strategically superior for long-term supply relationships.
7. International and digital negotiations add complexity — cultural intelligence and preparation are non-negotiable.
8. In Saudi procurement (Aramco, SABIC, NEOM), relationship, trust, and local content add layers beyond price alone.

Assignments, Next Steps & Recommended Reading

📌 ACTION ITEMS

Individual Assignment

Identify a real procurement negotiation from a Saudi or GCC company (use annual reports, news, or your own experience). Apply the full negotiation framework: describe BATNA, ZOPA, power types used, and classify the tactics. Propose an improvement. (2 pages, due next lecture)

Team Project

Your term project team will conduct a live negotiation simulation in Week 11. Each team prepares a complete negotiation plan (issues, BATNA, concession strategy) for a procurement case you select from the Saudi industrial context.

Recommended Reading

Fisher, Ury & Patton — 'Getting to Yes' (3rd ed., 2011) | Lewicki, Barry & Saunders — 'Negotiation', 7th ed. | Cialdini — 'Influence' (2006) | Monczka et al., Ch. 13

Reflection Challenge

You are hired as the Head of Procurement at a major Saudi Vision 2030 project. Your CEO asks you to negotiate a $500M EPC contract with a Korean contractor. Design your full negotiation strategy — BATNA, team roles, power leverage, win-win approach.

References & Sources

All Cases and Concepts Are Independently Verifiable

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